

BIG FALL

- Adani Total Gas saw 48% dip in one-year average m-cap
- Just 7% firms saw a decline in their average m-cap

RANK		Company	AVERAGE MARKET CAPITALISATION (₹ CRORE)		
2024	2023		Oct '23-Sep '24	Oct '22-Sep '23	Fall in %
83	28	Adani Total Gas	96,741	1,87,937	-48.5
487	245	Rajesh Exports	9,829	18,743	-47.6
72	31	Adani Energy Solutions	1,13,872	1,73,084	-34.2
177	82	Adani Wilmar	45,210	62,061	-27.2
343	218	Navin Fluorine International	17,034	21,772	-21.8
187	100	UPL	40,892	52,146	-21.6
335	216	Zee Entertainment Enterprises	17,663	22,018	-19.8
206	128	One97 Communications	36,156	43,783	-17.4
454	301	Alkyl Amines Chemicals	11,035	13,177	-16.3
440	298	Bajaj Electricals	11,515	13,274	-13.3

42 | SOURCE BT500 STUDY, ACE EQUITY

averaging only over 3% per quarter over the past year. “This tepid growth has limited the company’s operating leverage, compressing PAT growth below revenue levels. The sequential PAT increase of just over 2% per quarter highlights the company’s struggle to accelerate profitability, which has weighed heavily on investor sentiment and subsequently impacted share performance,” Sheth says.

Other group companies including Adani Energy Solutions and Adani Wilmar also witnessed declines of 34% and 27%, respectively.

On Adani Energy, Sheth says that while the company has demonstrated solid revenue growth of 14% over the last four quarters, the spin-off of the Dahanu plant resulted in a substantial impairment loss of ₹1,506 crore.

“This impairment effectively erased much of the operational gains made during the year, leading to a notable drag on earnings,” Sheth says.

According to brokerage Shruti Jain, Chief Strategy Officer at Arihant Capital Markets, shareholder structure concerns have impacted Adani Wilmar. “Confusion regarding potential demerger or merger plans, and volatility in palm oil prices have affected earnings,” she says.

Among the other major laggards, the one-year average m-cap of Rajesh Exports, Navin Fluorine International, UPL, Zee Entertainment, One97 Communications, Alkyl Amines Chemicals, and Bajaj Electricals also retreated somewhere between 13% and 48% in the past one year. Meanwhile, UPL reported a consolidated net loss of ₹1,200 crore

in FY24 against a profit of ₹3,570 crore in FY23. Rajesh Exports also witnessed nearly 77% dip in net profit in FY24. Alkyl Amines, Navin Fluorine International and Bajaj Electricals also saw fall of 35%, 28% and 39%, respectively, in their bottom line during the financial year ending March 2024.

THE ROAD AHEAD

Unabated outflows by foreign institutional investors have dragged down the Indian equity market immediately after the study period. The BSE Sensex declined 5% from September 30, 2024 to November 25, 2024, while the broader indices, the BSE MidCap and the BSE SmallCap, slipped nearly 7% and 6%, respectively. Global investors offloaded more than ₹1 lakh crore worth of shares during the same period.

According to market watchers, the present situation is one in which they prefer to wait and watch, with market dynamics being favourable for gold, driven by a number of factors including rising geopolitical tensions, lower interest rates, sluggish global economic growth, and strong demand from central banks.

But green shoots are already visible. Jain of Arihant Capital Markets says the agri-consumption and rural consumption themes have the potential to be significant growth drivers over the next two to three years. “The rural economy is experiencing a revival, supported by higher minimum support prices (MSPs) and increased rural spending. This trend, combined with the digitalisation of rural areas, has bridged the information gap, creating new opportunities,” Jain says.

That will perhaps be reflected in next year’s study. **BT**

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